SECURITIES AND EXCHANGE BOARD OF INDIA

CIRCULAR

Circular No. SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/57 April 28, 2025

To,
All recognised Stock Exchanges,
All recognised Clearing Corporations
(except Commodity Clearing Corporations)

Sir / Madam,

Sub: Timelines for collection of Margins other than Upfront Margins ? Alignment to settlement cycle

1. The Master Circular for Stock Brokers dated August 09, 2024, requires Trading Members (TMs) / Clearing Members (CMs) to collect margins from clients in the cash segment (Para 39.1 refers).

2. As per the existing provisions, TMs/CMs are required to mandatorily collect upfront VaR margins and ELM from their clients. Further, they had time till 'T+2' working days to collect margins (except VaR margins and ELM) from their clients (Para 39.1.2 refers).

3. However, effective January 27, 2023, settlement cycle has been reduced from T+2 to T+1 across all scrips in cash market. In view of the same, and based on the representations received from Brokers' Industry Standards Forum (ISF) and to ensure robust risk management, it has been decided that the TMs/CMs shall be required to collect margins (except VaR margins and ELM) from their clients by the settlement day.

4. Accordingly, the following modification is made to the Master Circular:

39.1.2. Henceforth, like in derivatives segment, the TMs/CMs in cash segment are also required to mandatorily collect upfront VaR margins and ELM from their clients in advance of trade. They will have time till settlement day to collect margins (except VaR margins and ELM) from their clients. (The clients must ensure that the VaR margins and ELM are paid in advance of trade and other margins are paid as soon as margin calls are made). The period till settlement day has been allowed to TMs/CMs to collect margin from clients taking into account the practical difficulties often faced by them only for the purpose of levy of penalty and it should not be construed that clients have been allowed time till settlement day to pay margin due from them.

39.1.3. If pay-in (both funds and securities) is made by settlement day, the other margins would deemed to have been collected and penalty for short / non collection of other margins shall not arise.

39.1.5. If client fails to make pay-in by settlement day and TM/CM do not collect other margins from the client by settlement day, the same shall also result in levy of penalty as applicable.

5. The circular shall come into force from the date of its issuance.

6. The recognized Stock Exchanges and Clearing Corporations are directed to:

6.1. Make necessary amendments to the relevant bye-laws, rules and regulations for the implementation of the above decision.

6.2. Bring the provisions of this circular to the notice of the market participants and to disseminate the same on their website.

7. This circular is issued in exercise of powers conferred under Section 11(1) of Chapter IV of the Securities and Exchange Board of India Act, 1992 read with Regulation 30 of Chapter VII of SEBI (Stock Brokers) Regulations, 1992 to protect the interests of investors in securities and to promote the development of, and to regulate, the securities market.

8. The circular is available on SEBI website at sebi.gov.in under the category "Legal ? Circulars".

Yours faithfully,

Sd/-
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